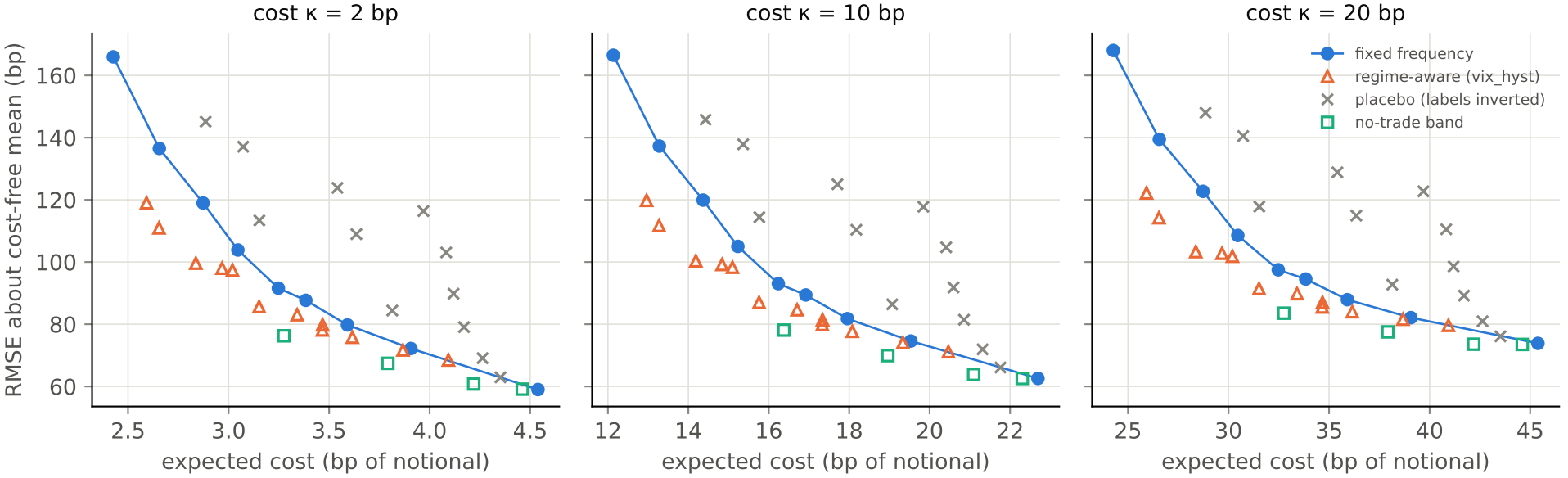
cost κ = 2 bp
cost κ = 10 bp
cost κ = 20 bp
RMSE about cost-free mean (bp)
160
140
120
100
80
60
2.5
3.0
3.5
4.0
4.5
12
14
16
18
20
22
25
30
35
40
45
expected cost (bp of notional)
fixed frequency
regime-aware (vix_hyst)
placebo (labels inverted)
no-trade band